

Chapter 4: Market Forces of Supply and Demand

Markets and Competition

- A **market** is a **group of buyers and sellers** of a particular good or service.
- A **competitive market** is a market with **so many** buyers and sellers that each one has a **negligible impact** on the market price.
- A **monopoly** is a market with a **single seller**, who **sets the price** rather than taking it as given.

Demand

- The **quantity demanded** of a good is the amount that buyers are **willing and able to purchase**.
- The **law of demand** states that, other things being equal, the **quantity demanded** of a good **falls** when the **price** of the good **rises**, and falls when the price falls.
- A **demand schedule** is a **table** showing the **relationship between the price of a good and the quantity demanded**, holding everything else constant.
- A **demand curve** is a **graph** of the relationship between the price of a good and the quantity demanded.
- **Market demand** is the **sum of the individual demands** of every buyer in the market, and the market demand curve is found by adding the individual curves horizontally.

Factors that Shift a Demand Curve

- Income
- Prices of related goods
- Tastes
- Expectations
- Number of buyers

Normal and Inferior Goods

- A **normal good** is one for which **demand rises when income rises**.
- A **inferior good** is one for which **demand falls when income rises**.

Prices of Related Goods

- Two goods are **substitutes** if an **increase** in the price of one leads to an **increase** in the demand for the other.
- Two goods are **complements** if an **increase** in the price of one leads to a **decrease** in the demand for the other.

Supply

- The **quantity supplied** of a good is the amount that sellers are **willing and be able to sell** at a given price during a specified period.
- The **law of supply** states that, other things being equal, the quantity of a supplied good **rises** when the **price** of a good **rises**, and falls when the price falls.
- A **supply schedule** is a **table** showing the relationship between the *price of a good* and the *quantity supplied*, holding everything else constant.
- A **supply curve** is a **graph** of the relationship between the *price of a good* and the *quantity supplied*.
- The **market supply** is the **sum of supplies** of all sellers.

Factors that Shift the Supply Curve

- Input prices
- Technology
- Expectations
- Number of sellers

Equilibrium

- The market's **equilibrium** is the point where the **supply and demand curves intersect**. The price there is the **equilibrium price** (or **market-clearing price**) and the quantity is the **equilibrium quantity**

Surplus

- A **surplus** (or **excess supply**) is a situation in which the **quantity supplied exceeds the quantity demanded**

Shortage

- A **Shortage** (or **excess demand**) is a situation in which the **quantity demanded exceeds the quantity supplied**

Law of Supply and Demand

- The **law of supply and demand** describes the tendency of prices to adjust until **quantity supplied equals quantity demanded**

How Prices Allocate Resources

- **Price gouging** is when prices for *scarce goods* rise sharply (usually during a crisis)

Change in Supply vs Change in Quantity Supplied

- **Supply** refers to the position of the supply **curve**
- **Quantity supplied** refers to a **particular point** on the curve, i.e. the amount sellers wish to sell at a particular price

The same applies to **demand** and **quantity demanded**.